

Contestant Number: _____

Time: _____

Rank: _____



Managerial Accounting (135)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (9 @ 3 points each) _____ (27 points)

Problem 1: Budgeting Problems (46@ 2 points each) _____ (92 points)

TOTAL POINTS _____ ***(149 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Which of the following is a mixed cost?

Cost	5,000 units	10,000 units
A	\$10,000	\$20,000
B	5,000	5,000
C	4,000	7,000

- A. A only
B. B only
C. C only
D. None of the costs are mixed
2. When fixed cost decrease, the break-even point _____.
A. Increases
B. Decreases
C. Remains the same
D. Cannot be determined
3. Rickman Company incurs both fixed and variable production costs. Assuming that production is within the relevant range, if volume increases by 32%, then the total costs would _____.
A. Increase by 32%
B. Decrease by 32%
C. Increase by an amount less than 32%
D. Remain the same
4. Harris Mfg.'s contribution margin ratio is 60% and its fixed monthly expenses are \$48,000. Assuming that the fixed monthly expenses do not change, what is the best estimate of the company's net operating income in a month when sales are \$138,000?
A. \$34,800
B. \$28,800
C. \$109,200
D. \$82,800

5. Hamill Corp. sells a single product for \$160. The variable costs are \$64 per unit, and the fixed costs are \$124,800 per month. How many units must Hamill sell to break-even each month?
 - A. 780 units
 - B. 1,300 units
 - C. 490 units
 - D. 1,950 units

6. A manufacturing company that produces a single product has provided the following data concerning its most recent month of operations:

Variable costs per unit:	
Direct materials	\$ 55
Direct labor	\$ 57
Variable manufacturing overhead	\$ 20
Variable selling and administrative expense	\$ 18
Fixed costs:	
Fixed manufacturing overhead	\$ 98,700
Fixed selling and administrative expense	\$ 46,000

What is the variable costing unit product cost for the month?

- A. \$150
 - B. \$132
 - C. \$149
 - D. \$112

7. A budget that rolls forward one month (or quarter) as the current month (or quarter) is completed is called a
 - A. Self-imposed budget
 - B. Continuous budget
 - C. Master budget
 - D. Slacking budget

8. Which of the following is NOT a benefit of budgeting?
 - A. It facilitates coordination of activities
 - B. It provides definite objectives for evaluating performance
 - C. It provides assurance that the company will achieve its objectives
 - D. It requires all levels of management to plan ahead on a recurring basis

9. Which of the following would never appear on a cash budget?
- A. Office salaries expense
 - B. Interest expense
 - C. Depreciation expense
 - D. Travel expense
10. Instead of a production budget, a merchandiser will prepare a:
- A. Pseudo-production budget
 - B. Purchases budget
 - C. Master time sheet
 - D. Sales forecast
11. The effectiveness of the budget program is directly related to its acceptance by all levels of management.
- A. True
 - B. False
12. Budgeting always has the effect on human behavior of inspiring managers to higher levels of performance.
- A. True
 - B. False
13. The most common budget period is one month
- A. True
 - B. False
14. The master budget is a set of interrelated budgets that constitute a plan of action for a specified time period.
- A. True
 - B. False
15. The sales budget is the first budget prepared and each of the other budgets depends on it.
- A. True
 - B. False

Short Answer

1. Wright Corporation is a wholesaler that sells a single product. Management has provided the following cost data for two levels of monthly sales volume. The company sells the product for \$154.00 per unit.

Sales volume (units)	14,100	15,510
Cost of sales	\$1,170,300	\$1,287,330

Using the high-low method, what is the best estimate of the total contribution margin when 15,210 units are sold?	
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2. Diaz Co. sells leather jackets for \$170. The monthly fixed costs are \$24,000 and the contribution margin ratio is calculated to be 20%.

How many jackets does Diaz need to sell to break-even?	
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3. Alvarez Mfg. is facing a \$6,000 increase in its factory insurance. To help offset the increase, Alvarez is planning to increase the sales price of the product, while also switching to a cheaper quality material. Alvarez knows that increasing the sales price will decrease demand for the product but is hoping that the cost savings will help offset that loss. Alvarez has provided the following information regarding the current year results and the estimates for next year.

	Current Year	Next Year's Estimates
Unit sales	27,000	18,000
Sales price per unit	\$50	\$60
Variable cost per unit	\$36	\$30
Fixed Cost	\$80,000	\$86,000

Will Alvarez's changes for next year increase or decrease profits?	
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What will be the amount of the increase/decrease?	
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4. Granger Company has provided the following data for the current year:

Units produced	2,500
Units sold	2,300
Sales price	\$200 per unit
Direct materials	\$75 per unit
Direct labor	\$10 per unit
Variable manufacturing overhead	\$25 per unit
Fixed manufacturing overhead	\$25,000 per year
Variable selling and administrative costs	\$30 per unit
Fixed selling and administrative costs	\$150,000 per year

	Variable Costing	Absorption Costing
What is Granger's contribution margin gross profit under variable and absorption costing?		

5. Coltrane Corporation produces and sells a single product for \$140. The variable costs are \$84 per unit. The company is currently selling 5300 units per month. Fixed expenses are \$185,000 per month. The marketing manager believes that a \$5300 increase in the monthly advertising budget would result in a 200 unit increase in monthly sales.

Would operating income increase or decrease?	
How much would operating income increase or decrease?	

6. Wright Corporation's break-even-point in sales is \$940,000, and its variable expenses are 80% of sales.

What were Wright's sales if Wright had a loss of \$44,000?	
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Problem 1: Master Budget (92 points)

Margolyes Gardens sells garden supplies. Miriam, the CFO, is preparing the cash budget for the second quarter. The company usually borrows money during this quarter to support peak sales of garden supplies. The following information has been assembled to assist in preparing a cash receipts, merchandise purchases and cash disbursements budgets for the quarter:

A) Budgeted Income Statements for April-July are:

	April	May	June	July
Sales	\$600,000	\$900,000	\$500,000	\$400,000
Cost of Goods Sold	<u>420,000</u>	<u>630,000</u>	<u>350,000</u>	<u>280,000</u>
Gross Profit	180,000	270,000	150,000	120,000
Selling & Administrative Expenses:				
Selling Expenses	79,000	120,000	62,000	51,000
Administrative Expenses	<u>45,000</u>	<u>52,000</u>	<u>41,000</u>	<u>38,000</u>
Net Operating Income	<u>\$56,000</u>	<u>\$98,000</u>	<u>\$47,000</u>	<u>\$31,000</u>

- B) The Administrative Expenses include \$20,000 of depreciation each month. All Selling and Administrative Expenses are paid out in cash in the current month.
- C) Sales are expected to be 20% cash and 80% on account.
- D) Sales on account are typically collected over a 3-month period with 10% collected in the month of sale, 70% collected in the first month following sale, and the remaining 20% collected in the second month following sale. Bad Debts are not significant. February's sales were \$200,000 and March's sales were \$300,000.
- E) Inventory purchases are paid 50% in the month of sale and 50% in the month following sale. On March 31, the Accounts Payable balance for materials purchased during March total \$126,000.
- F) Desired ending inventory is 20% of the cost of merchandise to be sold in the following month. March's ending inventory balance is \$84,000.
- G) Dividends of \$49,000 were declared in March and will be paid in April.

	April	May	Jun
Cash Receipts			
Cash Sales			
February Receipts			
March Receipts			
April Receipts			
May Receipts			
June Receipts			
Total Receipts			
	April	May	Jun
Purchases			
Cost of Goods Sold			
Ending Inventory			
Beginning Inventory			
Total Purchases			
	April	May	Jun
Cash Disbursements			
Purchases			
Prior month purchases			
Selling Expense			
Admin. Expense			
Dividends			
Total Disbursements			